2-5b Property Rights

Learning Objective 2-5

Understand the importance of property rights and intellectual property rights.

Regardless of which legal family a country's legal system belongs to, one of the most fundamental economic functions that a legal system serves is to protect

property rights (The legal right to use an economic property (resource) and to derive income and benefits from it.)

—the legal rights to use an economic property (resource) and to derive income and other benefits from it. Examples of property include homes, offices, and factories. (Intellectual property will be discussed in the next section.)

What difference do property rights supported by a functioning legal system make? A lot. Why did developed economies become developed (remember, for example, the United States was a "developing" or "emerging" economy 100 years ago)? While there are many answers, a leading answer, which is most forcefully put forward by Hernando de Soto, a Peruvian economist, focuses on the role played by formal institutions, particularly the protection of property rights afforded by a functioning legal system. In Africa, only approximately 1% of land is formally registered. In developed economies, every parcel of land, every building, and every trademark is represented in a property document that entitles the owner to derive income and other benefits from it, and prosecute violators through legal means. Because of the stability and predictability of such a legal system, tangible property can lead to an invisible, parallel life alongside its material existence. It can be used as collateral for credit. For example, the single most important source of funds for new start-ups in the United States is the mortgage of entrepreneurs' houses.

However, if you live in a house but cannot produce a title document specifying that you are the legal owner of the house (which is a very common situation throughout the developing world, especially in shanty towns), no bank in the world will allow you to use your house as collateral for credit. To start up a new firm, you must borrow funds from family members, friends, and other acquaintances through *informal* means. But funds through informal means are almost certainly more limited than funds that could have been provided formally by banks. As a result, in the aggregate, because of such under-funding, the average firm size in the developing world is smaller than that in the developed world. Such insecure property rights also result in using technologies that employ little fixed capital ("cash and carry" is the best) and do not entail long-term investment (such as R&D). These characteristics do not bode well in global competition, where leading firms reap benefits from economies of scale, capital-intensive technologies, and sustained investment in R&D.

What the developing world lacks, and desperately needs, is formal protection of property rights in order to facilitate economic growth.